

MERTON DAILY BRIEF - Saturday June 13, 2026

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HEADLINE OF THE DAY

*SpaceX goes public at \$2 trillion - Musk becomes the first trillionaire in history.** The biggest IPO ever saw SPCX surge 19% on day one, pushing market cap above \$2 trillion. Simultaneously, a US-Iran peace deal is in final stages: Trump announces signing "in coming days," WTI crude collapses -7% below \$85. Gold corrects -2.24% as Fed rate hike bets intensify. Markets riding tech euphoria while pricing geopolitical relief.

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GLOBAL SENTIMENT

Indicator	Level	Change	Signal
VIX	17.68	-6.55%	? Easing
DXY	99.81	-0.24%	? Neutral
Gold	\$4,238	-2.24%	Under pressure
US 10Y	4.487%	-1.43%	? Yield down
US 30Y	4.975%	-0.98%	? Yield down
US 5Y	4.213%	-1.59%	? Yield down
S&P 500	7,431	+0.65%	? Up
NASDAQ	25,889	+0.70%	? Tech euphoric
WTI	\$84.88	-7.03%	Collapse
Brent	\$87.33	-7.34%	Collapse
BTC	\$63,503	+3.02%	? Risk-on
Copper	\$6.445	+1.82%	? Industrial
Silver	\$67.97	-0.66%	? Neutral
EUR/USD	1.1573	+0.43%	? Euro strong
GBP/USD	1.3407	+0.53%	? Pound strong
USD/JPY	160.19	-0.09%	? Yen stable
USD/CHF	0.7964	-	? Safe haven

* Read:** Sentiment is clearly risk-on. VIX plunges -6.55%, NASDAQ outperforms driven by SpaceX/tech euphoria, BTC rebounds +3%. But the picture is more nuanced: gold corrects sharply (-2.24%) despite geopolitical tension, signaling the market is pricing Iran conflict resolution AND higher rates for longer. US yields drop (10Y at 4.49%), reflecting flight-to-quality into bonds on peace prospects. Oil collapses -7% - the biggest daily drop in months - on hopes of Hormuz reopening.

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MACRO - WHAT MOVED

United States

Historic SpaceX IPO - SPCX closed at \$161 (+19%) on its first Nasdaq trading day, pushing market cap above \$2 trillion. The largest IPO in history, dwarfing Saudi Aramco's \$25.6B in 2019. Elon Musk becomes the first trillionaire with an estimated fortune of ~\$1 trillion. Wolfe Research justifies the valuation via the rocket launch "moat." Wedbush (Ives) estimates an 80% probability of a SpaceX-Tesla merger within 12 months.

Fed under pressure - Warsh era - Kevin Warsh sworn in as new Fed Chair. Fed minutes show officials anticipate a rate hike if inflation stays elevated. Yardeni Research says the Fed will have to raise rates in July to appease "bond vigilantes." Core PCE inflation hit 3.3% annualized in April, well above the 2% target. Inflation projected to hit 6% in Q2. Michelle Bowman warns against premature hikes, creating internal divergence.

Tight labor market - JOLTS job openings surged to 7.6 million in April, the highest in nearly 2 years.

ADP private payrolls for May showed +122K, above expectations. Friday's jobs report will be closely watched. Long-term unemployment is surging with hidden costs.

Persistent inflation - Core PCE at 3.3% annualized. US households paying on average \$450 more for gas and energy due to Iran war. NY Fed survey shows household financial worries at highest since July 2022.

Trump names Bill Pulte as acting intelligence director, replacing Tulsi Gabbard. Administration proposes new tariffs on 60 economies over forced labor practices.

Europe

ECB - internal divergence - Governing Council member Kazimir says rates must be lifted further to tackle inflation, as euro zone inflation hits 3.2% pushed by Iran war energy costs. Rate decision expected next week. Energy prices take center stage.

UK - runaway inflation - UK inflation fears visible in pubs and cafes. Poll shows Britons expect inflation at double the BOE target. Political context tense as Burnham plans power grab while Starmer's premiership teeters.

Poland - Governor Dabrowski floats 2026 rate cut view if price risks fade, signaling potential central European pivot.

Switzerland - Voting on capping population at 10 million.

China & Asia

China rebukes US - Beijing sharply criticizes Washington over "military" labeling of its top firms. US-China trade tensions remain elevated with new tariff proposals.

India in crisis mode - India shifts into crisis with fuel curbs and widening deficit. Extreme heat threatens the Indian economy. Pakistan budget tests growth against IMF constraints.

Singapore - Implements revised rules for single family offices.

Morocco - Weighing a free-trade agreement with China.

Emerging Markets

Brazil - Inflation jumps above target limit before rate meeting, complicating the central bank's task.

Ukraine - IMF staff reaches agreement on \$690 million loan.

Uzbekistan - US and Uzbekistan deepen economic ties with new investment.

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GEOPOLITICS

Hot

US-Iran - peace deal in final stages - Trump administration announces a peace deal with Iran will likely be signed "in coming days" (80-85% probability). Text approved per Pakistani PM. Deal envisions Hormuz reopening and end of nuclear threat. However, questions remain on high gas prices and sequenced rewards. Attacks continue despite ceasefire talks.

US military strike - US killed Venezuelan Tren de Aragua gang leader Guerrero in an air strike on a compound.

Europe NATO - Europe braces for drastic cuts to US NATO wartime contributions.

Watch

Anthropic suspends latest AI models - After US government blocks access to foreigners, Anthropic suspended Fable 5 and Mythos 5. OpenAI engaging with state AGs. AI becoming national security issue.

Paramount-Warner Bros - US DOJ cleared Paramount's \$111B acquisition of Warner Bros, creating entertainment giant.

Starmer vs Burnham - UK political turmoil as Burnham plans power grab.

Positive

US-Iran deal - If signed, would be the biggest diplomatic success in years, with major impact on global energy and Middle East stability.

SpaceX IPO - Successful debut demonstrates market confidence in space economy and US innovation.

IMF-Ukraine - \$690M loan provides financial support.

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FX FOCUS

Pair	Level	Change	Signal
EUR/USD	1.1573	+0.43%	? Euro strong
GBP/USD	1.3407	+0.53%	? Pound strong
USD/JPY	160.19	-0.09%	? Stable
USD/CHF	0.7964	-	? Safe haven

* Analysis:** The dollar is broadly under pressure despite the elevated rate environment. Euro and pound benefit from Iran peace hopes reducing geopolitical risk premium. USD/JPY stable around 160 - a level that continues to worry Japanese authorities - any BOJ intervention seems imminent if yen weakens further. Swiss franc plays its safe-haven role with USD/CHF at 0.796. DXY at 99.81 (-0.24%) reflects a dollar struggling to find catalysts in a risk-on environment.

* Pair to watch:** `USD/JPY` - The 160 level is psychologically critical. If BOJ intervenes, we could see a violent move toward 155-157. Catalyst: any Ueda statement or coordinated G7 intervention.

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COMMODITIES

Oil - Collapse

WTI at \$84.88 (-7.03%) and **Brent at \$87.33 (-7.34%)** - Biggest daily drop in months. Oil hits 3-month low. Main reason: hopes for a US-Iran deal that would reopen the Strait of Hormuz and bring Iranian supply back. Oilprice headline: "Oil Prices Slide as Traders Bet on Diplomacy." US drilling pace ticks up slightly.

Gold - Correction

Gold at \$4,238 (-2.24%) - Gold corrects sharply, heading for a second weekly loss. Options flows suggest weakness could continue. Paradox: gold falls despite geopolitical tension because the market expects conflict resolution AND higher rates for longer (Fed). Gold miners could see a bounce according to some analysts.

Silver & Copper

Silver at \$67.97 (-0.66%) - Follows gold lower but with less magnitude.

Copper at \$6.445 (+1.82%) - Copper significantly outperforms, boosted by industrial demand and the AI/data center sector. Interesting divergence with gold: copper benefits from risk-on while gold suffers from rate expectations.

Soft Commodities

No major moves reported. Extreme heat in India threatens harvests and could impact agricultural prices in coming weeks.

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WEEK AHEAD CALENDAR

Day	Time (CET)	Country	Event	Impact
Mon	14:30	US	Retail Sales May	High
Mon	16:00	US	ISM Services PMI	? Medium
Tue	11:00	EU	ECB Rate Decision	High
Tue	14:30	US	PPI May	? Medium

Wed	14:30	US	CPI May	Critical
Wed	20:00	US	Fed Rate Decision (FOMC)	Critical
Thu	14:30	US	Jobless Claims	? Medium
Thu	14:30	US	Philly Fed Manufacturing	? Medium
Fri	14:30	US	Housing Starts	? Medium

* THE week ahead:** CPI Wednesday + FOMC Wednesday night + ECB decision Tuesday. The triple header that will define the rest of the month. Markets are pricing a high probability of a July Fed rate hike.

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DEEP MACRO THEME

*The great trade-off: geopolitical peace vs. domestic inflation**

We are living through a rare moment where two opposing macro forces nearly neutralize each other. On one side, US-Iran peace hopes are a massive risk-on catalyst: oil collapses -7%, VIX plunges, stocks rise. On the other, US inflation remains stubbornly elevated (core PCE 3.3%, Q2 forecast 6%), the labor market is tight (JOLTS 7.6M), and the Warsh Fed may be forced to raise rates in July.

The result is a market that's rising but with violent rotations beneath the surface. Gold corrects despite geopolitics because the market is pricing peace. Oil collapses on peace hopes but will rebound violently if the deal fails. US long yields drop (flight-to-quality into bonds) while the Fed talks hiking - a paradox that can't last.

The real risk this week: if Wednesday's CPI comes in hot AND the Iran deal materializes, we could see a "stagflation light" scenario where the Fed is trapped between falling oil (disinflationary) and sticky core inflation (inflationary). This is exactly what bond vigilantes fear.

The fundamental question: can the Warsh Fed cut rates if inflation stays at 3%+ while oil falls? The answer will define the next major market move.

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CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

1. **Iran deal signed by end of June** - Market pricing ~80% probability. Oil at \$85 incorporates quick resolution. If signed, WTI could fall to \$75-78.
2. **Fed on hold until July** - Market pricing a hold this week but a July hike. Fed funds futures show rising probability of +25bps.
3. **SpaceX = new tech bubble** - Market prices SpaceX as the next Apple/Amazon. Valuation at 2000x revenue. Justified by the space "moat."
4. **Inflation recedes in Q3** - Market pricing gradual disinflation thanks to falling oil. But core (ex-energy) stays stuck at 3%+.
5. **Dollar structurally weak** - Market pricing DXY toward 95-97. But if the Fed hikes and ECB cuts, the dollar could rebound sharply.
6. **Gold toward \$4,000** - Market pricing continued gold correction if rates stay elevated. But central banks keep buying, creating a floor.

The alpha:

1. **? Long Copper / Short Gold (ratio trade)** - Copper outperforms gold (+1.82% vs -2.24%) and this trend will accelerate. Copper benefits from AI/data center demand while gold suffers from elevated rates.
2. **? Long EUR/USD toward 1.1750** - Euro supported by hawkish ECB and weak dollar. Iran peace hopes reduce risk premium. Stop: 1.145. Target: 1.175.
3. **Short WTI to \$78 if Iran deal signed** - If formally announced, oil has another 8-10% downside. Entry: \$85. Stop: \$92 (deal fails). Target: \$78.
4. **? Long BTC toward \$70,000** - BTC at \$63,500 is in accumulation zone. Risk-on, tech euphoria, and weak dollar are supportive. Stop: \$60,000. Target: \$70,000.
5. **Short S&P 500 if hot CPI Wednesday** - S&P at 7,431 is overbought with VIX too low (17.68). If core

CPI comes at 3.5%+ vs 3.3%, expect a 2-3% correction. Buy puts 7,300 strike.

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MERTON'S TAKE

We are in a transition regime. The market hangs between two narratives: the "peace and prosperity" narrative (Iran deal, SpaceX, tech euphoria) and the "trapped inflation" narrative (Fed forced to hike, core inflation 3%+). One of these narratives will win in the next 2-3 weeks, and the market will move violently as a result.

My conviction: the inflation narrative will regain the upper hand. The Iran deal, even if signed, will only push oil down temporarily - Iranian supply will take months to return, and OPEC+ won't let prices collapse without responding. Meanwhile, US core inflation stays stuck at 3%+ and the Warsh Fed has no choice but to maintain a hawkish tone, possibly hiking in July.

Trade of the week: long volatility (VIX calls) ahead of Wednesday's CPI and FOMC. VIX at 17.68 is dangerously low for a week with two events of this magnitude. If CPI surprises to the upside, VIX could explode to 22-25 in hours.

Positioning: Long copper, long EUR/USD, short gold (partial), long BTC. Waiting on S&P puts for Wednesday. Oil is too volatile for a clear position before the Iran deal is signed (or not).

What I'm watching: The Fed statement Wednesday night after CPI. If Warsh maintains a hawkish tone despite falling oil, it's a strong signal the Fed is ready to hike - and that will be the catalyst for the next major market move.

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SOURCES CONSULTED

Yahoo Finance API - Real-time prices: S&P 500, VIX, DXY, Gold, WTI, Brent, BTC, Copper, Silver, US 10Y/30Y/5Y, NASDAQ, EUR/USD, GBP/USD, USD/JPY, USD/CHF

Bloomberg RSS (Markets) - SpaceX IPO, Iran deal, SpaceX index inclusion, CFTC/CME oil

Bloomberg RSS (Economics) - US consumer sentiment, ECB Kazimir rates, Brazil inflation, India crisis, UK inflation, Poland rate cut

Bloomberg RSS (Politics) - US-Iran deal, Starmer/Burnham, NATO cuts, Paramount-Warner Bros DOJ approval

FT RSS (Home) - SpaceX trillionaire, AI investment, Tren de Aragua strike, Anthropic AI models, US-Iran deal

FT RSS (Markets) - AI markets, Paramount-Warner, SpaceX debut, oil 3-month low, Sam Bankman-Fried

CNBC (World) - Stocks higher, SpaceX IPO, Iran deal, oil below \$85, Treasury yields, gold weekly loss

CNBC (Federal Reserve) - Fed rate hike bets, Warsh hires, JOLTS 7.6M, Bowman warning, core inflation 3.3%, Yardeni July hike

CNBC (Economy) - ECB rates, May jobs report, ADP 122K, US tariffs 60 economies, Iran war, euro zone inflation 3.2%

CNBC (Markets) - SpaceX-Tesla merger probability, Fed hold rates, SpaceX trading debut

CNBC (Gold) - Gold miners bounce, options flows gold weakness

CNBC (Oil) - AI data centers coal, oil prices week ahead

OilPrice.com - Oil market breaking point, China fusion reactor, SpaceX supply chain, US drilling, Brent 2-month low, Trump Iran deal

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Generated at 07:45 CET - Merton v2.0 - Saturday June 13, 2026*